

For all the talk of ample liquidity in the system, an issue of this size was indeed bound to soak up a sizeable chunk of the money sloshing around.

Within hours of the announcement of the price band, the premium for Reliance Power shares in the grey market shot up to over Rs 200. The rule of thumb when it comes to grey market prices is that the premium is reflective of the minimum gains an investor in an IPO can expect on listing day.

I was amazed at the frenzy over Reliance Power shares. Premiums in the grey market climbed to Rs 450 a share over the next couple of days, baffling even the most diehard of bulls. If the grey market premium was a true indicator, then an investor who got shares in the IPO would almost double his money on listing day.

The company had no earnings worth talking about, and yet people were willing to buy its shares at absurd prices. The IPO was not being seen as an equity investment any longer; rather, people appeared to think of it as some kind of scheme where you were assured of doubling your money in less than a month. This drew even more people to the IPO, feeding the mania further. Wherever you went, the conversation would soon steer to Reliance Power. You could not miss it in even on autorickshaw and taxi rides, as the drivers had learnt from their friends that the IPO was a sure-fire way to double their money. I doubt that another IPO such as this one will be seen, one that will generate the kind of mass hysteria that the Reliance Power issue was creating. Friends and relatives whom I had lost touch with suddenly began calling me, asking if they should be investing in the IPO.

Depository participants (DPs) had a windfall, as first-time investors rushed to open demat accounts so that they could buy the shares. I heard stories about *kirana* store owners hawking IPO forms and even offering to help their customers open demat accounts.

Bina was taking driving lessons at the time. One evening there was an unexpected visitor as we were sitting down to dinner. It was Bina's driving instructor; he had come with Rs 25,000 in cash, wrapped in a polythene bag.

*'Sir, hum ko Reliance Power ka shares khareedna hai; madam keh rahi thi ki aap stock market mein hain, aap meri madad karenge please,'* he said, in all earnestness. He wanted to know where I could get him the form to apply for the shares and what documents would be required to be shown.